Revision Date:
February 1, 2025

Background:
Senate Bill (SB) 726 and SB 80 implement a discharge process for overpayments.

Purpose:
The purpose of this section is to provide the overpayment discharge process. This material revision is to provide additional guidance on the discharge process. In addition, two new Notice of Actions (NOA), M44-350O and M44-352I, have been introduced, and existing NOA M44-353 has been revised. Desk Aid – Overpayment Discharge Flowchart has been created to outline the discharge process.

Policy:
Discharge Process for Non-Fraudulent Overpayments
For the discharge purpose, the term "closed" means the CalWORKs case is discontinued. “Off aid” means that the liable individual did not have an active CalWORKs case during a 36 consecutive month period. And the term "family" refers to the Assistance Unit (AU). Discharge means the overpayment has been end-dated without the possibility of further collection in any automated system, including the consortia systems, Welfare Intercept System, and Franchise Tax Board Intercept System.

Effective July 1, 2019:

- A non-fraudulent overpayment, including Employment Services supportive services claims, will be considered uncollectible and will be discharged when the CalWORKs case has been closed and the individual(s) responsible for the overpayment has not received aid under the CalWORKs program for 36 consecutive months or longer in California.
- If a former customer with an outstanding overpayment claim, regardless of the amount, reapplies and becomes a CalWORKs recipient within the 36-month timeframe, the collection of the overpayment will be resumed via grant adjustment.
- The overpayment discharge process also applies to cases where the former customer is in a repayment agreement with the county, or is in a civil judgement agreement, as long as the overpayment is not fraudulent.
- The overpayment discharge process applies to each overpayment claim, rather than the total overpayment amount resulting from multiple overpayment claims.
- When the overpayment has been discharged, staff will notify all formerly liable individuals that they are no longer liable for the overpayment amount that has been discharged.
- The discharge process is also applicable retroactively to any nonfraudulent outstanding Temporary Assistance for Needy Families (TANF) or CalWORKs overpayments claims established on or after December 1, 1996, where the case has been closed and the former customer(s) has been off aid for 36 consecutive months or longer in California.
    - Federal law precludes overpayments established prior to December 1, 1996, under the Aid to Families with Dependent Children (AFDC) program to be discharged. Overpayments established under AFDC will continue to be pursued.
- In CalWORKs cases where there is more than one individual liable for the overpayment claim, the overpayment claim will not be discharged until the case has been closed and all liable individuals have been off aid for 36 consecutive months in California. If one liable individual has not received

CalWORKs for 36 consecutive months or more while the other for less than 36 consecutive months, collection efforts must not be pursued, including tax intercept, from the liable individual who has not received CalWORKs for 36 consecutive months or more. Collection efforts from the other liable individual must be pursued until the person has not received CalWORKs for 36 consecutive months, at which time the remaining balance regardless of the amount must be discharged.

Claims Under the Overpayment Threshold

Overpayment collection cannot be pursued on claims that are under the overpayment threshold when the CalWORKs case is closed. A demand notice must not be sent for a repayment agreement or be referred for a claim for tax intercept after the CalWORKs case is closed if the overpayment is under the threshold. Overpayment claims under the threshold must be discharged after the CalWORKs case is closed and the liable individual(s) have not received CalWORKs in California for 36 consecutive months. If the overpayment claim has more than one liable individual and one of the liable individuals reapplies and receives CalWORKs within the 36 consecutive month period, the overpayment must be collected via grant adjustment, even if the amount is below the threshold.

Claims Over the Overpayment Threshold

When the CalWORKs case is closed and the overpayment claim exceeds the threshold, a demand notice (M44-352A – Notice of O/P and Demand) for repayment to the liable individual(s) must be sent.

If the claim has two liable individuals and one of them is paying back the overpayment in installments, the collection must be suspended for all liable individuals once the balance of the claim falls under the overpayment threshold. The payment that causes the overpayment claim to fall below the threshold will be the last payment accepted, after which the remaining overpayment balance will be placed in a suspense status. If a payment is made after the balance falls below the threshold, the payment collected in error must be refunded.

Also, if one liable individual has not received CalWORKs for more than 36 consecutive months while the other for less than 36 consecutive months, the overpayment claim cannot be discharged. Stop collection from the liable individual who has been off CalWORKs for 36 consecutive months. Collection must continue from the liable individual who has not reached the 36 consecutive month period. If the installment goes beyond 36 months and the unpaid balance is still over the collection threshold, stop collection on the 36th month and discharge the remaining overpayment balance regardless of the unpaid amount, except for overpayments involving fraud.

Claims With No Liable Individuals

Overpayments can be collected from active Annual Reporting/Child Only (AR/CO) cases via grant adjustments. A CalWORKs case is considered active when children are still receiving CalWORKs in the same AU for which the overpayment was established, such as active cases with K1 or 3F aid codes.

Once an AR/CO case is closed, do not collect from a child, or adult who was excluded from the Assistance Unit (AU) because the adult was long-term sanctioned, a fleeing felon, an ineligible non-citizen, or a non-needy caretaker relative and thus unaided at the time of the overpayment. If the unaided adult(s) in an AR/CO case does not apply for CalWORKs cash aid on behalf of the same

eligible child/ren included in the AU for which the overpayment claim was established within 36 consecutive months, the overpayment claim must be discharged on the 37th month.

If a child who was previously included in an AR/CO case for which an overpayment claim was established is aided in the future as part of a different AU, the overpayment must not be attributed to the new AU. Do not adjust the grant or otherwise recoup the overpayment that occurred in the former AR/CO case.

Overpayment Discharge and Fraud

The overpayment discharge process does not apply to overpayment claims involving fraud or an investigation into suspected fraud. Therefore, when a CalWORKs case is closed and the overpayment has been referred to the Bureau of Public Assistance Investigations (BPAI) unit, these overpayments are prohibited from being discharged, unless the investigation is inconclusive or determined that no fraud was committed, and the former customer has been off aid for 36 consecutive months or longer in California.

If an investigation is still in process, collection on overpayment claims under the CalWORKs threshold must be paused on the 36th month for collection when an Intentional Program Violation (IPV) has not been imposed. Any amount collected beyond this timeframe must be refunded.

If the investigation concludes and it is determined that the overpayment is a result of fraud, collection efforts must resume until the overpayment is paid in full regardless of the timeline.

Reminder: An IPV can only result from an Administrative Disqualification Hearing (ADH), a signed ADH waiver, criminal prosecution, or a signed disqualification consent agreement, as described in CPG 44-350.J.

Major Systemic Error & Negligence Overpayment Discharge

Overpayment discharging also applies when the overpayments result from negligence and major systemic error, as defined by the California Department of Social Services (CDSS).

A “mass overpayment” is defined as an overpayment caused by the same action or inaction that impacts either eight percent of the county caseload, or more than 1,000 CalWORKs AUs within the county, whichever is greater.

The county will notify the CDSS Early Engagement and Eligibility Bureau (EE&EB) when a mass overpayment has been identified, and will include in the notification as to whether the mass overpayment is known to have been caused by either of the following:

- Negligence or fraud on part of the county in the determination of eligibility for CalWORKs.
- A major systemic error by the state or county.

Upon notification of the mass overpayment, the EE&EB will determine if these overpayments may be discharged.

Overpayment Reasonable Settlement
A reasonable settlement of demand for repayment with customers may be reached. The 36 consecutive month timeline for discharge policy must not be considered when negotiating a reasonable settlement. Once a reasonable settlement is reached, only the settled amount may be collected. The difference between the original overpayment and the settlement amount must be considered uncollectible and must be discharged.

Negotiation of a reasonable settlement can happen when a CalWORKs case is active or closed. This means that the threshold requirements for collection when a case is closed and the requirements for discharging overpayments apply to a negotiated settlement amount originally established when the case was active. If a negotiated settlement amount has not been fully recovered after the CalWORKs case has been closed for 36 consecutive months, the balance must be discharged under the policies set forth above, except for fraudulent overpayments.

Deemed Uncollectible by the Court
If an overpayment claim is deemed uncollectible by the bankruptcy court or by another court decision, the claim must be discharged.

Impacts:
Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Program (TCVAP)
The changes to the overpayment discharge process also apply to RCA and TCVP.

Correspondence
- M44-353 – Notice of Overpayment Discharge
  This notice must be used to notify customers that their overpayment claim(s) is being discharged after the case has been closed and the liable individual(s) has not received CalWORKs for 36 consecutive months or more. The notice must be sent to all liable individuals. The revised notice removed the use of NA 290 and added language to clarify that “all” liable individuals on the case must be notified about the overpayment amount being discharged. The notice does not include an NA BACK 9 as the action is not subject to a state hearing.
- M44-350O – Notice of Suspected Fraud
  This new NOA must be used to notify former customers about the change in the status of their overpayment claim(s) related to suspected fraud investigations. The NOA has separate check boxes that must be marked accordingly and sent to all liable individuals.
- M44-352I - Notice of Overpayment Settlement
  This new NOA must be used to notify customers about the overpayment settlement agreement. The NOA shows the total overpayment balance prior to the settlement agreement, the agreed upon revised overpayment amount, and the remaining amount eligible for discharge. Settlement agreement applies to active and closed cases.

Procedure:
- A complete and clear explanation of the reason for the overpayment discharge and action taken by the worker must be entered into CalSAWS journal.
- For case scenarios refer to desk aid Overpayment Threshold and Discharge Process Examples, located in Eligibility Essentials site.

- Desk Aid – Overpayment Discharge Flowchart outlines the discharge process, located in Eligibility Essentials site.

References:
- Senate Bill (SB) 80, 726.
- Welfare and Institutions Code (W&IC) 10851, 11004.
- All County Letter (ACL) No. 19-102, 19-102E, 24-84.

Sunset Date:
This policy will be reviewed for continuance by February 29, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services